Kotak Mahindra Asset Management Company Limited
(Kotak Mahindra Mutual Fund)

October 21, 2026

Scheme Name	Scheme Type	Name of the Regulator[1]	Rating[2]	Rating Action
Kotak Liquid Fund	Open-ended Liquid Scheme	SEBI	CARE AAA mfs / CARE A1+ mfs	Reaffirmed
Kotak Money Market Fund	Open-ended Debt Scheme	SEBI	CARE AAA mfs / CARE A1+ mfs	Reaffirmed
*Kotak Ultra Short Term Fund (Kotak Savings Fund)	Open-ended Ultra Short-Term Debt Scheme	SEBI	CARE AAA mfs / CARE A1+ mfs	Reaffirmed
*Kotak Ultra Short to Short Term Fund (formerly known as Kotak Low Duration Fund)	Open-ended Low Duration Debt Scheme	SEBI	CARE AAA mfs / CARE A1+ mfs	Reaffirmed
Kotak Overnight Fund	Open-ended Debt Scheme	SEBI	CARE A1+ mfs	Reaffirmed

Details of instruments/facilities in Annexure-1.

*Pursuant to the SEBI Circular on 'Categorization and Rationalization of Mutual Fund Schemes' dated February 26, 2026, read along with the SEBI Master Circular for Mutual Funds dated March 20, 2026, Kotak Mahindra Asset Management Company Limited, vide Notice-cum-Addendum dated August 25, 2026, approved the change in nomenclature of the following schemes of the Fund, effective August 26, 2026:

1) Kotak Low Duration Fund has been renamed as Kotak Ultra Short to Short Term Fund.
2) Kotak Savings Funds has been renamed as Kotak Ultra Short Term Fund.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has reaffirmed the long-term and short-term credit quality ratings (CQRs) to Kotak Liquid Fund, Kotak Ultra Short to Short Term Fund, Kotak Money Market Fund, Kotak Ultra Short Term Fund, and Short-term CQR to Kotak Overnight Fund. These funds are managed by Kotak Mahindra Asset Management Company Limited (Kotak AMC).

Schemes rated 'CARE AAA mfs' are considered to have the highest degree of safety regarding timely receipt of payments from investments that have been made.

Schemes rated 'CARE A1+mfs' are considered to have strong degree of safety regarding timely payment receipt from investments that have been made.

CareEdge Ratings' CQR is an opinion on the overall credit quality of a debt mutual fund scheme. CareEdge Ratings' fund CQR is not a recommendation to purchase, sell, or hold a security or fund. They comment neither on the current market price or suitability for a particular investor, nor on the prospective performance of the fund regarding appreciation, volatility of net asset value (NAV), or yield of the fund. Ratings do not address the fund's ability to meet payment obligations to investors. Ratings are not an opinion on fund management practices (including fund structure, expense ratios, and marketing activities), financial performance, and management quality of an asset management company (AMC), and hence, do not comment on business practices. Ratings also do not indicate compliance and reputation risks, liquidity, market, and sectoral risks.

Ratings capture the fund's overall exposure to default risk based on the credit quality of individual securities in the portfolio. CareEdge Ratings' fund CQR is based on evaluation of the fund's investment strategy and portfolio credit risk. It also involves evaluation of credit quality of individual securities and diversification of portfolios. CareEdge Ratings uses the concept of credit scores assigned to individual securities, per the credit scoring matrix developed by it.

CareEdge Ratings reviews the rated mutual fund scheme on an ongoing basis to support its published rating opinions. As such, the fund's portfolio is reviewed monthly. A detailed annual review of the funds is also additionally undertaken. The fund must

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority
[2]Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

maintain fund credit score within the benchmark fund score associated with a given rating level. If in a particular month the fund credit score breaches the benchmark, CareEdge Ratings generally provides a month to the AMC to realign the score.

Credit scores of above schemes have been calculated based on the portfolio outstanding as on August 31, 2026, and are within the benchmark set by CareEdge Ratings.

Rating sensitivities: Factors that could individually or collectively lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating actions/upgrade:

- Not applicable

Negative factors: Factors that could individually or collectively lead to negative rating actions/downgrade:

- CareEdge Ratings could downgrade ratings of schemes if credit quality of underlying securities deteriorates, resulting in a breach in the threshold limit set by CareEdge Ratings for a given rating level.

Analytical approach:

Assessment of underlying credit quality of debt schemes.

Detailed description of key rating drivers

The credit score of these rated schemes has been calculated based on portfolio outstanding as on August 31, 2026, and are within the benchmark set by CareEdge Ratings. CareEdge Ratings reviews a mutual fund scheme on an on-going basis to support its published rating opinions. Fund portfolio is reviewed monthly. Detailed annual review of the fund is also undertaken. The fund must maintain the fund credit score within the benchmark fund score associated with a given rating level. If in a particular month, the fund credit score breaches the benchmark, CareEdge Ratings generally provides a curing of one month to the AMC to correct the situation and realign the score.

Applicable criteria

Fund Credit Quality

About the funds

Kotak Liquid Fund

Kotak Liquid Fund was launched by Kotak AMC on November 04, 2003. It is an open-ended liquid scheme with relatively low-interest rate risk and moderate credit risk. The investment objective of the scheme is to provide reasonable returns and high level of liquidity by investing in debt instruments such as bonds, debentures and Government Securities; and money market instruments such as treasury bills, commercial paper, certificate of deposit, including repos in permitted securities of different maturities, so as to spread the risk across different kinds of issuers in the debt markets. The scheme may invest in call money/term money market in terms of Reserve Bank of India (RBI) guidelines in this respect. Subject to maximum amount permitted periodically, the scheme may invest in offshore securities in the manner allowed by Securities and Exchange Board of India (SEBI) / RBI, provided such investments are in conformity with the investment objective of the scheme and prevailing guidelines and regulations. To reduce portfolio risk, the scheme may also use derivatives and hedging products periodically, in the manner permitted by SEBI. There is no assurance that the investment objective of the schemes will be realised. The fund's assets under management (AUM) stood at ₹49,073.00 crore as on August 31, 2026.

Kotak Ultra Short to Short Term Fund (formerly known as Kotak Low Duration Fund)

Kotak Ultra Short to Short Term Fund (formerly known as Kotak Low Duration Fund) was launched by Kotak AMC in March 2008. It is an open-ended low duration debt scheme investing in instruments such that the Macaulay duration of the portfolio is between six months and 12 months, with relatively high-interest rate risk and moderate credit risk. Primary objective of the scheme is to generate income through investment primarily in low duration debt and money market securities. There is no assurance or guarantee that the investment objective of the scheme will be achieved. The fund's AUM stood at ₹12,093.28 crore as on August 31, 2026.

Kotak Money Market Fund

Kotak Money Market Fund was launched by Kotak AMC in July 2003. It is an open-ended debt scheme investing in money market instruments, with relatively low-interest rate risk and moderate credit risk. The objective of the investment scheme is to generate returns by investing in money market instruments which have maturity up to one year. There is no assurance that the investment objective of the scheme will be realised. The fund's AUM stood at ₹29,764.20 crore as on August 31, 2026.

As on August 31, 2026, the scheme exceeded the 10% single issuer limit in one issuer. However, with prior approval from the Boards of the Trustee Company and the AMC, the limit has been extended to 12% of the scheme's NAV, in line with SEBI regulations. Despite concentration risk, the scheme's credit score remains within CareEdge Ratings' acceptable threshold for the current rating band.

Kotak Ultra Short Term Fund (formerly known as Kotak Savings Fund)

Kotak Ultra Short Term Fund (formerly known as Kotak Savings Fund) was launched by Kotak AMC in August 2004. It is an open-ended ultra-short-term debt scheme investing in instruments such that the Macaulay duration of the portfolio is between three months and six months, with moderate interest rate risk and moderate credit risk. The investment objective of the scheme is to generate returns through investments in debt and money market instruments with a view to reduce the interest rate risk. However, there is no assurance or guarantee that the investment objective of the scheme will be achieved. The fund's AUM stood at ₹15,961.62 crore as on August 31, 2026.

Kotak Overnight Fund

Kotak Overnight Fund was launched by Kotak AMC in January 2019. It is an open-ended debt scheme investing in overnight securities, with relatively low-interest rate risk and relatively low credit risk. The primary objective of the scheme is to generate income through investment in debt and money market instruments having maturity of one business day (including Triparty repo on Government securities or treasury bills, Reverse Repo and equivalent). However, there is no assurance or guarantee that the investment objective of the scheme will be achieved. The fund's AUM stood at ₹8,617.84 crore as on August 31, 2026.

Liquidity: Not applicable

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial Services	Financial Services	Capital Markets	Asset Management Company

Kotak AMC, which is a wholly owned subsidiary of Kotak Mahindra Bank Limited (KMBL), is the Investment Manager to Kotak Mahindra Mutual Fund. In February 2003, Kotak Mahindra Finance Limited (KMFL), the Kotak Mahindra group's flagship company, received banking license from the RBI, becoming the first non-banking finance company in India to convert into a bank. The Kotak Mahindra Group is one of India's leading financial services conglomerates. Kotak AMC started operations in December 1998 and has ~1.49 crore investor folios across schemes. The mutual fund offers schemes catering to investors with varying risk-return profiles and was the first fund house in the country to launch a dedicated gilt scheme investing only in government securities. The company is present in 108 cities and has 120 branches.

The AMC has reported average AUM (AAUM) for schemes of Kotak Mahindra Mutual Fund of ₹6,14,115.71 crore (excluding domestic Fund of Funds but including Fund of Funds - Overseas) for the quarter ended September 30, 2026.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Covenants of rated instrument / facility: Not applicable

Complexity level of instruments rated: Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:
A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Credit Quality Rating-Kotak Liquid Fund	SEBI	Not Applicable	-	-	-	-	0.00	CARE AAA mfs / CARE A1+ mfs
Credit Quality Rating-Kotak Money Market Fund	SEBI	Not Applicable	-	-	-	-	0.00	CARE AAA mfs / CARE A1+ mfs
Credit Quality Rating-Kotak Overnight Fund	SEBI	Not Applicable	-	-	-	-	0.00	CARE A1+ mfs
Credit Quality Rating-Kotak Ultra Short Term Fund (formerly known as Kotak Savings Fund)	SEBI	Not Applicable	-	-	-	-	0.00	CARE AAA mfs / CARE A1+ mfs
Credit Quality Rating-Kotak Ultra Short to Short Term Fund (formerly known as Kotak Low Duration Fund)	SEBI	Not Applicable	-	-	-	-	0.00	CARE AAA mfs / CARE A1+ mfs

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Credit Quality Rating-Kotak Overnight Fund	Open-ended Debt Scheme -ST	0.00	CARE A1+ mfs	1)CARE A1+ mfs (07-May-26)	1)CARE A1+ mfs (27-Mar-26) 2)CARE A1+ mfs (20-Jun-25)	1)CARE A1+ mfs (02-Sep-24) 2)CARE A1+ mfs (26-Jun-24)	1)CARE A1+ mfs (12-Mar-24) 2)CARE A1+ mfs (12-Feb-24) 3)CARE A1+ mfs (22-Jun-23)
2	Credit Quality Rating-Kotak Liquid Fund	Open-ended Liquid Scheme -LT/ST	0.00	CARE AAA mfs / CARE A1+ mfs	1)CARE AAA mfs / CARE A1+ mfs (07-May-26)	1)CARE AAA mfs / CARE A1+ mfs (27-Mar-26) 2)CARE AAA mfs (20-Jun-25)	1)CARE AAA mfs (02-Sep-24) 2)CARE AAA mfs (26-Jun-24)	1)CARE AAA mfs (12-Mar-24) 2)CARE A1+ mfs (12-Feb-24) 3)CARE A1+ mfs (22-Jun-23)
3	Credit Quality Rating-Kotak Money Market Fund	Open-ended Debt Scheme -LT/ST	0.00	CARE AAA mfs / CARE A1+ mfs	1)CARE AAA mfs / CARE A1+ mfs (07-May-26)	1)CARE AAA mfs / CARE A1+ mfs (27-Mar-26) 2)CARE A1+ mfs (20-Jun-25)	1)CARE A1+ mfs (02-Sep-24) 2)CARE A1+ mfs (26-Jun-24)	1)CARE A1+ mfs (12-Mar-24) 2)CARE A1+ mfs (12-Feb-24) 3)CARE A1+ mfs (22-Jun-23)
4	Credit Quality Rating-Kotak Ultra Short to Short Term Fund (formerly known as Kotak Low Duration Fund)	Open-ended Low Duration Debt Scheme -LT/ST	0.00	CARE AAA mfs / CARE A1+ mfs	1)CARE AAA mfs / CARE A1+ mfs (07-May-26)	1)CARE AAA mfs / CARE A1+ mfs (27-Mar-26) 2)CARE AAA mfs (20-Jun-25)	1)CARE AAA mfs (02-Sep-24) 2)CARE AAA mfs (26-Jun-24)	1)CARE AAA mfs (12-Mar-24) 2)CARE AAA mfs (12-Feb-24) 3)CARE AAA mfs (22-Jun-23)

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
5	Credit Quality Rating-Kotak Ultra Short Term Fund (formerly known as Kotak Savings Fund)	Open-ended Ultra Short-Term Debt Scheme -LT/ST	0.00	CARE AAA mfs / CARE A1+ mfs	1)CARE AAA mfs / CARE A1+ mfs (07-May-26)	1)CARE AAA mfs / CARE A1+ mfs (27-Mar-26) 2)CARE AAA mfs (20-Jun-25)	1)CARE AAA mfs (02-Sep-24) 2)CARE AAA mfs (26-Jun-24)	1)CARE AAA mfs (12-Mar-24) 2)CARE AAA mfs (12-Feb-24) 3)CARE AAA mfs (22-Jun-23)

LT: Long term; ST: Short term; LT/ST: Long term/Short term

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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